

Clark County, Arkansas

Regulatory Basis Financial Statements and Other Reports

December 31, 2009

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
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Sen. Bobby L. Glover
Senate Co-Chair
Rep. Johnny Hoyt
House Co-Chair
Sen. Bill Pritchard
Senate Co-Vice Chair
Rep. Beverly Pyle
House Co-Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2009, as listed in the table of contents. These financial statements are the responsibility of the County's management. Our responsibility is to express opinions on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinions.

As described more fully in Note 1(B and C), the County has prepared these financial statements using accounting practices prescribed or permitted by Arkansas Code, which practices differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

In our opinion, because of the effects of the matter discussed in the preceding paragraph, the financial statements referred to above do not present fairly, in conformity with accounting principles generally accepted in the United States of America, the financial position of Clark County, Arkansas, as of December 31, 2009, or the changes in its financial position or where applicable, its cash flows, thereof for the year then ended. Further, the County has not presented a management's discussion and analysis that accounting principles generally accepted in the United States has determined is necessary to supplement, although not required to be part of, the basic financial statements.

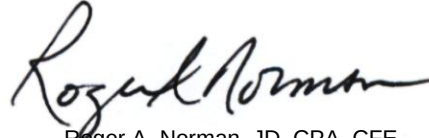
The financial statements referred to above do not disclose all the required information concerning deposit risks, which should be included in order to conform with the regulatory basis of accounting described in Note 1(C).

In our opinion, except for the effects on the financial statements of the omission described in the preceding paragraph, the financial statements referred to above present fairly, in all material respects, the respective regulatory basis financial position of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of December 31, 2009, and the respective changes in the regulatory basis financial position, and the budgetary results for the general fund and road fund for the year then ended on the basis of accounting as described in Note 1(C).

In accordance with *Government Auditing Standards*, we have also issued our report dated November 1, 2010 on our consideration of the County's internal control over financial reporting and our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements of Clark County, Arkansas. The accompanying financial information listed as supporting schedules in the table of contents is presented for purposes of additional analysis and is not a required part of the financial statements of Clark County, Arkansas. Such information has been subjected to the auditing procedures applied in the audit of the financial statements and, in our opinion, except for the effects on the financial information in the supporting schedules of the omission described above, such information is fairly stated in all material respects in relation to the financial statements taken as a whole. The supplementary information in the Schedule of Capital Assets required by the regulatory basis of presentation and the Schedule of Selected Information for the Last Five Years as listed in the table of contents as Schedules 3 and 4 are presented for the purpose of additional analysis. We have not applied auditing procedures to this information and, accordingly, we express no opinion on these schedules.

DIVISION OF LEGISLATIVE AUDIT

A handwritten signature in black ink, appearing to read "Roger A. Norman". The signature is fluid and cursive, with a large initial "R" and "N".

Roger A. Norman, JD, CPA, CFE
Legislative Auditor

Little Rock, Arkansas
November 1, 2010
LOCO01009

Sen. Bobby L. Glover
Senate Co-Chair
Rep. Johnny Hoyt
House Co-Chair
Sen. Bill Pritchard
Senate Co-Vice Chair
Rep. Beverly Pyle
House Co-Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING, COMPLIANCE AND OTHER MATTERS, AND OTHER ISSUES BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2009, and have issued our report thereon dated November 1, 2010. We issued an adverse opinion because the County prepared the financial statements using accounting practices prescribed or permitted by Arkansas Code, which differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the basis of accounting described in Note 1(C), our opinions on the general fund, road fund, and other funds in the aggregate were qualified because required disclosures were not made concerning deposit risks. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered the County's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the County's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the County's internal control over financial reporting.

Our consideration of internal control over financial reporting was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control over financial reporting that might be significant deficiencies or material weaknesses and therefore, there can be no assurance that all deficiencies, significant deficiencies, or material weaknesses have been identified. However, as discussed below, we identified a certain deficiency in internal control over financial reporting that we consider to be a material weakness.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a misstatement of the County's financial statements will not be prevented, or detected and corrected on a timely basis. We consider the following deficiency to be a material weakness:

2009-1 To ensure the proper safeguarding of assets, financial accounting duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions should be distributed among appropriate employees. The County officials, as specified in the Other Issues section of this report, did not segregate these duties to sufficiently reduce the risks of fraud or error and properly safeguard the County's assets, because of limited financial resources. We recommend that the financial accounting duties in each office be segregated among employees to the extent possible.

The County officials, as specified in the Other Issues section of this report, responded and indicated that their offices will segregate the duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions to the extent possible with the current staffing levels.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the County's financial statements are free of material misstatement, we performed tests of the County's compliance with certain provisions of the state constitution, laws, regulations, and contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

The County's response to the findings identified in our audit is described above. We did not audit the County's response and, accordingly, we express no opinion on it.

Other Issues

The following issues are not significant deficiencies, material weaknesses, or material instances of noncompliance, but are issues that are presented to assist in the efficient operation of the County.

The commentary contained in this section relates to the following officials that held office during 2009:

County Judge: Ron Daniell
Treasurer: Judy Beth Hutcherson
Sheriff and Tax Collector: David Turner
County Clerk: Rhonda Cole
Circuit Clerk: Martha Smith
Assessor: Kasey Summerville
County Librarian: Judy Golden

Our audit procedures indicated that the Offices of **County Judge** and **County Librarian** were in substantial compliance with Arkansas fiscal and financial laws. Noncompliance with state law and accepted accounting practices was noted in the Offices of **Treasurer, Sheriff, Tax Collector, County Clerk, Circuit Clerk, and Assessor**.

The following internal control weaknesses were discovered during our review of computer processing:

Treasurer

1. There were no formal documented and approved Disaster Recovery or Business Continuity Plans. This situation could cause the County to be without computer processing for an extended period of time in the event of a disaster or major interruption and could also place a financial and personnel burden on the resources of the County.
2. Proper password account lockout controls were not established and password requirements did not meet minimum industry standards.

Tax Collector

1. There again were no formal documented and approved Disaster Recovery or Business Continuity Plans. This situation could cause the County to be without computer processing for an extended period of time in the event of a disaster or major interruption and could also place a financial and personnel burden on the resources of the County.
2. Proper password account lockout controls again were not established and password requirements again did not meet minimum industry standards.

Sheriff

1. Backup retention periods had not been established to enable both short-term and long-term recovery in the event of a system outage. The off-site backup facility was not geographically removed from the courthouse and was not physically or environmentally safeguarded. Failing to maintain off-site backups could result in loss of data and the inability to continue operations in the event of a disaster.
2. There were no formal documented and approved Disaster Recovery or Business Continuity Plans. This situation could cause the County to be without computer processing for an extended period of time in the event of a disaster or major interruption and could also place a financial and personnel burden on the resources of the County.
3. Proper password account lockout controls were not established; password requirements did not meet minimum industry standards; and a password history file was not maintained.

County Clerk

1. There were no formal documented and approved Disaster Recovery or Business Continuity Plans. This situation could cause the County to be without computer processing for an extended period of time in the event of a disaster or major interruption and could also place a financial and personnel burden on the resources of the County.
2. Proper password account lockout controls were not established and password requirements did not meet minimum industry standards.

Circuit Clerk

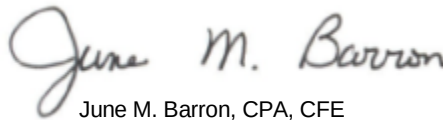
1. The off-site backup facility again was not geographically removed from the courthouse and again was not physically or environmentally safeguarded. Failing to maintain off-site backups could result in loss of data and the inability to continue operations in the event of a disaster.
2. There again were no formal documented and approved Disaster Recovery or Business Continuity Plans. This situation could cause the County to be without computer processing for an extended period of time in the event of a disaster or major interruption and could also place a financial and personnel burden on the resources of the County.

Assessor

There were no formal documented and approved Disaster Recovery or Business Continuity Plans. This situation could cause the County to be without computer processing for an extended period of time in the event of a disaster or major interruption and could also place a financial and personnel burden on the resources of the County.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, the federal awarding agencies, and pass-through entities, if applicable, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

DIVISION OF LEGISLATIVE AUDIT



June M. Barron, CPA, CFE
Deputy Legislative Auditor

Little Rock, Arkansas
November 1, 2010

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2009

Exhibit A

	<u>General</u>	<u>Road</u>	<u>Other Funds in the Aggregate</u>
ASSETS			
Cash and cash equivalents	\$ 1,086,316	\$ 3,286,753	\$ 4,579,044
Accounts receivable	<u>470,704</u>	<u>210,211</u>	<u>246,158</u>
 TOTAL ASSETS	 <u><u>\$ 1,557,020</u></u>	 <u><u>\$ 3,496,964</u></u>	 <u><u>\$ 4,825,202</u></u>
 LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 104,964	\$ 133,802	\$ 252,375
Settlements pending	<u>1,873</u>	<u></u>	<u>892,774</u>
Total Liabilities	<u><u>106,837</u></u>	<u><u>133,802</u></u>	<u><u>1,145,149</u></u>
 Fund Balances:			
Reserved (Note 7)	2,189	3,363,162	3,680,053
Unreserved:			
Designated (Note 8)	389,402		
Undesignated	<u>1,058,592</u>	<u></u>	<u></u>
Total Fund Balances	<u><u>1,450,183</u></u>	<u><u>3,363,162</u></u>	<u><u>3,680,053</u></u>
 TOTAL LIABILITIES AND FUND BALANCES	 <u><u>\$ 1,557,020</u></u>	 <u><u>\$ 3,496,964</u></u>	 <u><u>\$ 4,825,202</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2009

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 628,854	\$ 1,096,315	\$ 89,188
Federal aid	44,119	136,299	30,324
Property taxes	420,974	178,440	563,715
Sales taxes	1,306,087	1,278,877	136,051
Fines, forfeitures, and costs	419,872		119,926
Interest	15,705	48,324	54,498
Officers' fees	29,489		150,199
911 Surcharges			162,069
Sanitation fees			466,393
Prisoner care	128,390		
Treasurer's commission	93,820		16,120
Collector's commission	76,030		44,034
Taxes apportioned - Assessor's salary and expense	286,398		
Other	455,422	33,627	169,615
 TOTAL REVENUES	 3,905,160	 2,771,882	 2,002,132
 Less: Treasurer's commission	 34,329	 34,354	 21,732
 NET REVENUES	 3,870,831	 2,737,528	 1,980,400
EXPENDITURES			
Current:			
General government	1,500,041		251,999
Law enforcement	2,483,718		133,989
Highways and streets		2,584,719	
Public safety	85,686		420,652
Sanitation			631,431
Health	37,258		
Recreation and culture	2,500		267,405
Social services	55,480		
 TOTAL EXPENDITURES	 4,164,683	 2,584,719	 1,705,476

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2009

Exhibit B

	<u>General</u>	<u>Road</u>	<u>Other Funds in the Aggregate</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (293,852)</u>	<u>\$ 152,809</u>	<u>\$ 274,924</u>
OTHER FINANCING SOURCES (USES)			
Transfers in	45,216		520,232
Transfers out			<u>(565,448)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>45,216</u>		<u>(45,216)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(248,636)	152,809	229,708
FUND BALANCES - JANUARY 1	<u>1,698,819</u>	<u>3,210,353</u>	<u>3,450,345</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 1,450,183</u></u>	<u><u>\$ 3,363,162</u></u>	<u><u>\$ 3,680,053</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2009

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 489,500	\$ 628,854	\$ 139,354	\$ 1,070,000	\$ 1,096,315	\$ 26,315
Federal aid		44,119	44,119		136,299	136,299
Property taxes	462,000	420,974	(41,026)	185,000	178,440	(6,560)
Sales taxes	1,400,000	1,306,087	(93,913)	1,400,000	1,278,877	(121,123)
Fines, forfeitures, and costs	415,500	419,872	4,372			
Interest	50,000	15,705	(34,295)	130,000	48,324	(81,676)
Officers' fees	55,000	29,489	(25,511)			
Prisoner care	60,000	128,390	68,390			
Treasurer's commission	100,000	93,820	(6,180)			
Collector's commission	160,000	76,030	(83,970)			
Taxes apportioned - Assessor's salary and expense	500,000	286,398	(213,602)			
Other	497,182	455,422	(41,760)	50,000	33,627	(16,373)
TOTAL REVENUES	4,189,182	3,905,160	(284,022)	2,835,000	2,771,882	(63,118)
Less: Treasurer's commission		34,329	(34,329)		34,354	(34,354)
NET REVENUES	4,189,182	3,870,831	(318,351)	2,835,000	2,737,528	(97,472)
EXPENDITURES						
Current:						
General government	1,687,991	1,500,041	187,950			
Law enforcement	2,552,476	2,483,718	68,758			
Highways and streets				3,565,316	2,584,719	980,597
Public safety	2,500	85,686	(83,186)			
Health	77,899	37,258	40,641			
Recreation and culture	2,500	2,500				
Social services	57,993	55,480	2,513			
TOTAL EXPENDITURES	4,381,359	4,164,683	216,676	3,565,316	2,584,719	980,597

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2009

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (192,177)</u>	<u>\$ (293,852)</u>	<u>\$ (101,675)</u>	<u>\$ (730,316)</u>	<u>\$ 152,809</u>	<u>\$ 883,125</u>
OTHER FINANCING SOURCES (USES)						
Transfers in	150,000	45,216	(104,784)			
Transfers out	<u>(25,000)</u>		<u>25,000</u>			
TOTAL OTHER FINANCING SOURCES (USES)	<u>125,000</u>	<u>45,216</u>	<u>(79,784)</u>			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(67,177)	(248,636)	(181,459)	(730,316)	152,809	883,125
FUND BALANCES - JANUARY 1	<u>1,000,000</u>	<u>1,698,819</u>	<u>698,819</u>	<u>2,500,000</u>	<u>3,210,353</u>	<u>710,353</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 932,823</u></u>	<u><u>\$ 1,450,183</u></u>	<u><u>\$ 517,360</u></u>	<u><u>\$ 1,769,684</u></u>	<u><u>\$ 3,363,162</u></u>	<u><u>\$ 1,593,478</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 1: Summary of Significant Accounting Policies

A. Financial Reporting Entity

The County is a political subdivision of the state governed by an elected quorum court. The reporting entity includes all the funds of the County.

B. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Arkansas Code. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is the primary operating fund and is used to account for all financial resources, except those required to be accounted for in another fund. The General Fund heading as it appears in the financial statements includes the following accounts: General, Various Fire Departments, Courthouse Annex, and Local Emergency Planning.

Road Fund - The Road Fund is used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for maintaining and constructing county roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. The following Special Revenue Funds are reported with other funds in the aggregate: Office of Emergency Services, Clark County Marina, Indigent Investigator, Indigent Defense, County Recorder's Cost, Support Collection Costs, Juvenile Probation, Boating Safety, Breathalyzer, District Court Cost, Victim/Witness, Emergency 911, Sheriff's Drug Control, Disaster Recovery, Juvenile Work Supervision, Treasurer's Automation, Jail Maintenance, Mobile Emergency Operations, District Court Jail Fee, Local Law Enforcement Block Grant, Sanitation, Collector's Automation, County Clerk's Cost, District Court Automation, Fire Department Library Grant, Circuit Court Automation, Assessor's Amendment no. 79, Alumacraft Grant, Drug Enforcement, HITCO Grant, H & P Sales Grant, 2005 Jail Construction, Jail Note, County Public Library, and Communication Facility and Equipment.

Agency Funds - Agency Funds are used to account for assets held by the entity as an agent for individuals, private organizations, other governmental units, and other funds. The following Agency Funds are reported with other funds in the aggregate: Funds held by the County Treasurer – Treasurer's Commission, Collector's Commission, General School, Law Library, Timber Tax, Okolona School District, Improvement Tax, DeGray Fire Department, Bail Bond, City of Gurdon - Fire, City of Whelen Springs - General, and City of Whelen Springs - Road; Tax Collector – Current Tax and Delinquent Tax; Sheriff – Bond and Fine, Fee, and Circuit Bond; County Clerk – Fee; Circuit Clerk – Trust; and County Judge – Sanitation.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 1: Summary of Significant Accounting Policies (Continued)

C. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Arkansas Code. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

D. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts and certificates of deposit.

Settlements Pending

Settlements pending are considered property taxes, fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance

1. Reserved Fund Balance indicates that portion of fund balance that is not appropriable for expenditure or is legally segregated for a specific future use.
2. Designated Fund Balance indicates that portion of fund balance for which the entity has made tentative plans for financial resource utilization in a future period.
3. Undesignated Fund Balance indicates that portion of fund balance not reserved or designated.

E. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 10.

F. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other Special Revenue Funds.

NOTE 2: Cash

Deposit risks related to credit risk, concentration of credit risk, interest rate risk, and foreign currency risk have not been provided as required by Governmental Accounting Standards Board Statement No. 40.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 3: Legal or Contractual Provisions for Deposits and Investments

State law generally requires that county funds be deposited in federally insured banks located in the State of Arkansas. The County deposits may be in the form of checking accounts, savings accounts, and/or time deposits. Public funds may also be invested in direct obligations of the United States of America and obligations the principal and interest on which are fully guaranteed by the United States of America.

NOTE 4: Accounts Receivable

The accounts receivable balance at December 31, 2009 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
State aid	\$ 91,947	\$ 91,639	\$ 27,387
Property taxes	19,719	7,480	21,279
Sales taxes	96,496	94,486	10,052
Fines, forfeitures, and costs	22,327		8,344
Officers' fees	1,653		9,113
Prisoner care	29,708		
Sanitation fees			54,589
911 surcharges			27,717
Treasurer's commission	110,652	16,606	11,773
Collector's commission	76,030		54,682
Taxes Apportioned - assessor's salary and expense	2,832		
Transfers	216		6,074
Other	19,124		15,148
Totals	<u>\$ 470,704</u>	<u>\$ 210,211</u>	<u>\$ 246,158</u>

NOTE 5: Accounts Payable

The accounts payable balance at December 31, 2009 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Vendor payables	<u>\$ 104,964</u>	<u>\$ 133,802</u>	<u>\$ 252,375</u>

NOTE 6: Legal Debt Limit

A. Bonded Debt

The County is subject to a constitutional limitation for bonded indebtedness equal to 10% of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2009, the legal debt limit for bonded debt was \$22,910,829. There were no property tax secured bond issues.

B. Short-Term Financing Obligations

The County is subject to a constitutional limitation for short-term financing obligations equal to 2.5% of the assessed value of taxable property within the County as determined by the last tax assessment. At December 31, 2009, the legal debt limit for short-term financing obligations was \$6,386,194. There were no short-term financing obligations.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 7: Reserved Fund Balance

Reserved fund balance consists of the following:

	December 31, 2009
<u>General</u>	
Various Fire Departments	\$ 2,189
<u>Road</u>	\$ 3,363,162
<u>Other Funds in the Aggregate</u>	
Special Revenue Funds:	
Office of Emergency Services	\$ 48,240
Clark County Marina	48,403
Indigent Investigator	60,789
Indigent Defense	196,392
County Recorder's Cost	57,491
Support Collection Costs	13,428
Juvenile Probation	6,520
Boating Safety	26,653
Breathalyzer	18,181
District Court Cost	11,679
Victim/Witness	44,579
Emergency 911	306,779
Sheriff's Drug Control	2,318
Disaster Recovery	2,718
Juvenile Work Supervision	131,209
Treasurer's Automation	8,762
Jail Maintenance	677,219
Mobile Emergency Operations	5,576
District Court Jail Fee	18,714
Local Law Enforcement Block Grant	24
Sanitation	830,050
Collector's Automation	143,906
County Clerk's Cost	17,481
District Court Automation	13,390
Fire Department Library Grant	45,701
Circuit Court Automation	29,872
Assessor's Amendment no. 79	31,092

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 7: Reserved Fund Balance (Continued)

	December 31, 2009
<u>Other Funds in the Aggregate (Continued)</u>	
Special Revenue Funds: (Continued)	
Drug Enforcement	\$ 1,755
H & P Sales Grant	1
2005 Jail Construction	473,423
County Public Library	368,121
Communication Facility and Equipment	39,587
Total Other Funds in the Aggregate	\$ 3,680,053

NOTE 8: General Fund - Designated Fund Balance

General Fund designated fund balance consists of the following:

<u>Description</u>	<u>December 31, 2009</u>
Courthouse Annex	\$ 389,111
Local Emergency Planning	291
Total	\$ 389,402

NOTE 9: Commitments

Total commitments consist of the following at December 31, 2009:

	December 31, 2009
Long-Term liabilities	\$ 328,238
Reappraisal contract	198,884
Total Commitments	\$ 527,122

Long-Term Liabilities

Long-Term liabilities at December 31, 2009 are comprised of the following:

	December 31, 2009
Landfill Closure and Postclosure Care Costs	\$ 305,795
Compensated Absences	22,443
Total Long-Term Liabilities	\$ 328,238

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 9: Commitments (Continued)

Landfill Closure and Postclosure Care Costs

Clark County is the owner of permit no. 044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs are being recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The estimated commitment for the landfill closure and postclosure care costs has a balance of \$305,795 as of December 31, 2009 and represents the cumulative amount reported to date based on 94% usage of the landfill. The County will recognize the remaining estimated cost of closure and postclosure care of \$3,591 as the remaining estimated capacity is filled. At the present utilization rate, the landfill site life is estimated to exhaust in ten months from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities, and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2009. However, the actual cost of closure and postclosure may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated May 23, 2009, in the amount of \$203,485 and in accordance with Ark. Code Ann. § 8-6-1603; the County has provided financial assurance of \$182,245 in the form of a Contract of Obligation dated June 12, 2007. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$182,245 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly disclose operation.

Reappraisal Contract

The County entered into a contract with Mack-Reynolds Appraisal Company, Inc., on January 3, 2008 for a county-wide reappraisal. The terms of the contract require monthly payments of \$16,575 for 36 months which began January 2008. The County is obligated \$198,884 for 2010. Payments on the contract for 2009 totaled \$198,916.

Post-Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post-employment benefits other than pensions was not determined.

NOTE 10: Interfund Transfers

Transfers of \$45,216 were made from Other Funds in the Aggregate to the General Fund. Of this amount, \$45,000 was used for reimbursement of salary expenses (County Recorder's Cost Fund and Support Collection Costs Fund) and \$216 for correction of an error. Transfers of \$520,232 were made within Other Funds in the Aggregate to close the Jail Note Fund and establish the Jail Maintenance Fund for payment of jail maintenance expenditures.

NOTE 11: Joint Ventures

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas, Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 11: Joint Ventures (Continued)

A. Reuse Committee (Continued)

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities, and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court, and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth-East Judicial Districts, the Sheriff's Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. Funding was provided through a Drug Law Enforcement Program grant applied for by the Prosecuting Attorney of the Twenty-Second Judicial District. The County paid \$1,100 to the Group "6" Narcotics Enforcement Unit in 2009. The financial statements of the Group "6" Narcotics Enforcement have not been audited.

NOTE 12: Risk Management

The County is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

The County participates in the Association of Arkansas Counties Program (public entity risk pools) for coverage in the following area:

Workers' Compensation - This program provides statutory benefits for losses incurred by County officials, employees, and volunteer fire fighters while performing work for the County. Rates for counties participating in this program are revised annually based on the cost experience of the particular county or group as determined by the Workers' Compensation Commission.

The County participates in the Arkansas Public Entities Risk Management Association (APERMA) public entity risk pool for coverage in the following areas:

Building and Contents Program - This program is a blanket policy with coverage up to \$100,000,000 for any one loss with a \$500 deductible. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county property.

Vehicle Program

A. Liability - This program may pay all sums the County legally must pay as damages because of bodily injury, death, or property damage to which this agreement applies involving a covered county vehicle and for which the County is liable. The limit of payment for in-state claims is \$25,000 for bodily injury per person, \$50,000 for bodily injury per accident, and \$25,000 for property damage per accident (\$100,000 respectively for out-of-state claims). The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county vehicles owned or leased by the County.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2009

NOTE 12: Risk Management (Continued)

Vehicle Program (Continued)

B. Physical Damage - This program covers vehicles and mobile equipment which are the property of the participating county. Property is valued at the cost to repair or replace the property after deduction for depreciation. Loss amounts will be reduced by the deductible amount of \$1,000 for Sheriff's Department vehicles and \$500 for all other covered vehicles and mobile equipment. The County agrees to pay into the program each year a service charge established annually by the Risk Management Fund Board for covered property.

General Liability Program - The program shall provide legal defense in civil rights suits against the county government of a participating county and pay judgments imposed on County officials and employees and the county government and county-formed boards and commissions. Coverage is limited to \$350,000 per case with an annual aggregate of \$350,000. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for this coverage.

The County also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$250,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the County Aid Fund. There is a \$1,000 deductible per occurrence.

NOTE 13: Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for PERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, One Union National Plaza, 124 W. Capitol, Little Rock, Arkansas 72201 or by calling 1-800-682-7377.

Funding Policy

PERS has contributory and non-contributory plans. Contributory members are required by code to contribute 5% of their salary. Each participating employer is required by code to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation.

NOTE 14: Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC), was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007 for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,372,032 in 2009. An audit report of the EDCCC has not been provided.

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2009

Schedule 1

	SPECIAL REVENUE FUNDS							
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	County Recorder's Cost	Support Collection Costs	Juvenile Probation	Boating Safety
ASSETS								
Cash and cash equivalents	\$ 76,128	\$ 47,014	\$ 60,367	\$ 198,261	\$ 50,356	\$ 13,396	\$ 6,520	\$ 26,304
Accounts receivable	5	1,389	422	1,251	8,361	32		349
	<u>5</u>	<u>1,389</u>	<u>422</u>	<u>1,251</u>	<u>8,361</u>	<u>32</u>		<u>349</u>
TOTAL ASSETS	<u>\$ 76,133</u>	<u>\$ 48,403</u>	<u>\$ 60,789</u>	<u>\$ 199,512</u>	<u>\$ 58,717</u>	<u>\$ 13,428</u>	<u>\$ 6,520</u>	<u>\$ 26,653</u>
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	\$ 27,893			\$ 3,120	\$ 1,010			
Settlements pending					216			
Total Liabilities	<u>27,893</u>			<u>3,120</u>	<u>1,226</u>			
Fund Balances:								
Reserved (Note 7)	48,240	\$ 48,403	\$ 60,789	196,392	57,491	\$ 13,428	\$ 6,520	\$ 26,653
	<u>48,240</u>	<u>\$ 48,403</u>	<u>\$ 60,789</u>	<u>196,392</u>	<u>57,491</u>	<u>\$ 13,428</u>	<u>\$ 6,520</u>	<u>\$ 26,653</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 76,133</u>	<u>\$ 48,403</u>	<u>\$ 60,789</u>	<u>\$ 199,512</u>	<u>\$ 58,717</u>	<u>\$ 13,428</u>	<u>\$ 6,520</u>	<u>\$ 26,653</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2009

Schedule 1

	SPECIAL REVENUE FUNDS							
	Breathalyzer	District Court Cost	Victim/Witness	Emergency 911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation
ASSETS								
Cash and cash equivalents	\$ 18,109	\$ 10,703	\$ 41,891	\$ 436,060	\$ 2,318	\$ 2,718	\$ 131,196	\$ 7,534
Accounts receivable	72	1,296	2,714	28,863			13	1,269
TOTAL ASSETS	<u>\$ 18,181</u>	<u>\$ 11,999</u>	<u>\$ 44,605</u>	<u>\$ 464,923</u>	<u>\$ 2,318</u>	<u>\$ 2,718</u>	<u>\$ 131,209</u>	<u>\$ 8,803</u>
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable		\$ 320	\$ 26	\$ 158,144				\$ 41
Settlements pending								
Total Liabilities		<u>320</u>	<u>26</u>	<u>158,144</u>				<u>41</u>
Fund Balances:								
Reserved (Note 7)	<u>\$ 18,181</u>	<u>11,679</u>	<u>44,579</u>	<u>306,779</u>	<u>\$ 2,318</u>	<u>\$ 2,718</u>	<u>\$ 131,209</u>	<u>8,762</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 18,181</u>	<u>\$ 11,999</u>	<u>\$ 44,605</u>	<u>\$ 464,923</u>	<u>\$ 2,318</u>	<u>\$ 2,718</u>	<u>\$ 131,209</u>	<u>\$ 8,803</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2009

Schedule 1

	SPECIAL REVENUE FUNDS							
	Jail Maintenance	Mobile Emergency Operations	District Court Jail Fee	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation
ASSETS								
Cash and cash equivalents	\$ 657,049	\$ 5,575	\$ 17,131	\$ 24	\$ 794,782	\$ 99,915	\$ 16,637	\$ 12,881
Accounts receivable	20,170	1	3,377		92,827	50,120	844	509
TOTAL ASSETS	<u>\$ 677,219</u>	<u>\$ 5,576</u>	<u>\$ 20,508</u>	<u>\$ 24</u>	<u>\$ 887,609</u>	<u>\$ 150,035</u>	<u>\$ 17,481</u>	<u>\$ 13,390</u>
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable			\$ 1,794		\$ 57,559	\$ 55		
Settlements pending						6,074		
Total Liabilities			<u>1,794</u>		<u>57,559</u>	<u>6,129</u>		
Fund Balances:								
Reserved (Note 7)	<u>\$ 677,219</u>	<u>\$ 5,576</u>	<u>18,714</u>	<u>\$ 24</u>	<u>830,050</u>	<u>143,906</u>	<u>\$ 17,481</u>	<u>\$ 13,390</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 677,219</u>	<u>\$ 5,576</u>	<u>\$ 20,508</u>	<u>\$ 24</u>	<u>\$ 887,609</u>	<u>\$ 150,035</u>	<u>\$ 17,481</u>	<u>\$ 13,390</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2009

Schedule 1

	SPECIAL REVENUE FUNDS							
	Fire Department Library Grant	Circuit Court Automation	Assessor's Amendment no. 79	Drug Enforcement	H & P Sales Grant	2005 Jail Construction	County Public Library	Communication Facility and Equipment
ASSETS								
Cash and cash equivalents	\$ 45,692	\$ 29,535	\$ 25,338	\$ 1,755	\$ 1	\$ 473,423	\$ 344,360	\$ 39,587
Accounts receivable	9	337	5,754				26,174	
TOTAL ASSETS	<u>\$ 45,701</u>	<u>\$ 29,872</u>	<u>\$ 31,092</u>	<u>\$ 1,755</u>	<u>\$ 1</u>	<u>\$ 473,423</u>	<u>\$ 370,534</u>	<u>\$ 39,587</u>
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable							\$ 2,413	
Settlements pending								
Total Liabilities							<u>2,413</u>	
Fund Balances:								
Reserved (Note 7)	<u>\$ 45,701</u>	<u>\$ 29,872</u>	<u>\$ 31,092</u>	<u>\$ 1,755</u>	<u>\$ 1</u>	<u>\$ 473,423</u>	368,121	<u>\$ 39,587</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 45,701</u>	<u>\$ 29,872</u>	<u>\$ 31,092</u>	<u>\$ 1,755</u>	<u>\$ 1</u>	<u>\$ 473,423</u>	<u>\$ 370,534</u>	<u>\$ 39,587</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2009

Schedule 1

	AGENCY FUNDS						
	Treasurer's Accounts	Tax Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge's Account	Totals
ASSETS							
Cash and cash equivalents	\$ 646,902	\$ 71,594	\$ 75,064	\$ 6	\$ 38,329	\$ 54,589	\$ 4,579,044
Accounts receivable							246,158
TOTAL ASSETS	<u>\$ 646,902</u>	<u>\$ 71,594</u>	<u>\$ 75,064</u>	<u>\$ 6</u>	<u>\$ 38,329</u>	<u>\$ 54,589</u>	<u>\$ 4,825,202</u>
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable							\$ 252,375
Settlements pending	<u>\$ 646,902</u>	<u>\$ 71,594</u>	<u>\$ 75,064</u>	<u>\$ 6</u>	<u>\$ 38,329</u>	<u>\$ 54,589</u>	<u>892,774</u>
Total Liabilities	<u>646,902</u>	<u>71,594</u>	<u>75,064</u>	<u>6</u>	<u>38,329</u>	<u>54,589</u>	<u>1,145,149</u>
Fund Balances:							
Reserved (Note 7)							<u>3,680,053</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 646,902</u>	<u>\$ 71,594</u>	<u>\$ 75,064</u>	<u>\$ 6</u>	<u>\$ 38,329</u>	<u>\$ 54,589</u>	<u>\$ 4,825,202</u>

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2009

Schedule 2

	SPECIAL REVENUE FUNDS							
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	County Recorder's Cost	Support Collection Costs	Juvenile Probation	Boating Safety
REVENUES								
State aid								\$ 3,302
Federal aid	\$ 30,324							
Property taxes								
Sales taxes								
Fines, forfeitures, and costs			\$ 6,304	\$ 20,472				
Interest	801	\$ 655	857	2,992	\$ 1,142	\$ 368	\$ 100	370
Officers' fees				43	117,784	4,595	35	
911 Surcharges								
Sanitation fees								
Treasurer's commission								
Collector's commission								
Other	3,699	19,902		1	787			
TOTAL REVENUES	34,824	20,557	7,161	23,508	119,713	4,963	135	3,672
Less: Treasurer's commission	11	271	98	301	1,622	67	3	51
NET REVENUES	34,813	20,286	7,063	23,207	118,091	4,896	132	3,621
EXPENDITURES								
Current:								
General government		14,008			119,052	72		
Law enforcement				28,304			764	
Public safety	34,129							200
Sanitation								
Recreation and culture								
TOTAL EXPENDITURES	34,129	14,008		28,304	119,052	72	764	200
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	684	6,278	7,063	(5,097)	(961)	4,824	(632)	3,421
OTHER FINANCING SOURCES (USES)								
Transfers in								
Transfers out					(25,216)	(20,000)		
TOTAL OTHER FINANCING SOURCES (USES)					(25,216)	(20,000)		
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	684	6,278	7,063	(5,097)	(26,177)	(15,176)	(632)	3,421
FUND BALANCES - JANUARY 1	47,556	42,125	53,726	201,489	83,668	28,604	7,152	23,232
FUND BALANCES - DECEMBER 31	\$ 48,240	\$ 48,403	\$ 60,789	\$ 196,392	\$ 57,491	\$ 13,428	\$ 6,520	\$ 26,653

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2009

Schedule 2

	SPECIAL REVENUE FUNDS							
	Breathalyzer	District Court Cost	Victim/Witness	Emergency 911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation
REVENUES								
State aid								
Federal aid								
Property taxes								
Sales taxes								
Fines, forfeitures, and costs	\$ 1,074	\$ 20,551	\$ 39,850					
Interest	274	123	616	\$ 6,165	\$ 41	\$ 42	\$ 1,958	\$ 102
Officers' fees								
911 Surcharges				162,069				
Sanitation fees								
Treasurer's commission								16,120
Collector's commission								
Other			55	1,812				53
TOTAL REVENUES	1,348	20,674	40,521	170,046	41	42	1,958	16,275
Less: Treasurer's commission	19	288	517	2,371	1		26	1
NET REVENUES	1,329	20,386	40,004	167,675	40	42	1,932	16,274
EXPENDITURES								
Current:								
General government								22,741
Law enforcement	1,303	13,663			2,033			
Public safety			32,183	256,512		294	1,124	
Sanitation								
Recreation and culture								
TOTAL EXPENDITURES	1,303	13,663	32,183	256,512	2,033	294	1,124	22,741
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	26	6,723	7,821	(88,837)	(1,993)	(252)	808	(6,467)
OTHER FINANCING SOURCES (USES)								
Transfers in								
Transfers out								
TOTAL OTHER FINANCING SOURCES (USES)								
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	26	6,723	7,821	(88,837)	(1,993)	(252)	808	(6,467)
FUND BALANCES - JANUARY 1	18,155	4,956	36,758	395,616	4,311	2,970	130,401	15,229
FUND BALANCES - DECEMBER 31	\$ 18,181	\$ 11,679	\$ 44,579	\$ 306,779	\$ 2,318	\$ 2,718	\$ 131,209	\$ 8,762

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2009

Schedule 2

	SPECIAL REVENUE FUNDS							
	Jail Maintenance	Mobile Emergency Operations	District Court Jail Fee	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation
REVENUES								
State aid					\$ 20,490			
Federal aid								
Property taxes	\$ 170,478				102,145			
Sales taxes					136,051			
Fines, forfeitures, and costs			\$ 31,675					
Interest	2,833	\$ 83	287		11,609	\$ 1,884	\$ 206	\$ 156
Officers' fees							11,980	6,015
911 Surcharges								
Sanitation fees					466,393			
Treasurer's commission						44,034		
Collector's commission						27,600		
Other			1		84,703		1	
TOTAL REVENUES	173,311	83	31,963		821,391	73,518	12,187	6,171
Less: Treasurer's commission	2,078	1	407		9,851	25	165	81
NET REVENUES	171,233	82	31,556		811,540	73,493	12,022	6,090
EXPENDITURES								
Current:								
General government						74,659	11,862	319
Law enforcement	14,246		32,138					
Public safety								
Sanitation					631,431			
Recreation and culture								
TOTAL EXPENDITURES	14,246		32,138		631,431	74,659	11,862	319
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	156,987	82	(582)		180,109	(1,166)	160	5,771
OTHER FINANCING SOURCES (USES)								
Transfers in	520,232							
Transfers out								
TOTAL OTHER FINANCING SOURCES (USES)	520,232							
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	677,219	82	(582)		180,109	(1,166)	160	5,771
FUND BALANCES - JANUARY 1		5,494	19,296	\$ 24	649,941	145,072	17,321	7,619
FUND BALANCES - DECEMBER 31	\$ 677,219	\$ 5,576	\$ 18,714	\$ 24	\$ 830,050	\$ 143,906	\$ 17,481	\$ 13,390

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2009

Schedule 2

	SPECIAL REVENUE FUNDS						
	Fire Department Library Grant	Circuit Court Automation	Assessor's Amendment no. 79	Alumacraft Grant	Drug Enforcement	HITCO Grant	H & P Sales Grant
REVENUES							
State aid	\$ 1,355		\$ 12,848	\$ 3,745		\$ 2,560	\$ 2,682
Federal aid							
Property taxes							
Sales taxes							
Fines, forfeitures, and costs							
Interest		\$ 411	381		\$ 4		\$ 6,345
Officers' fees		4,782					
911 Surcharges							
Sanitation fees							
Treasurer's commission							
Collector's commission							
Other	6,000						
TOTAL REVENUES	7,355	5,193	13,229	3,745	4	2,560	6,345
Less: Treasurer's commission	18	70	101				
NET REVENUES	7,337	5,123	13,128	3,745	4	2,560	6,345
EXPENDITURES							
Current:							
General government			298	3,746		2,560	2,682
Law enforcement					1,100		
Public safety	96,210						
Sanitation							
Recreation and culture							
TOTAL EXPENDITURES	96,210		298	3,746	1,100	2,560	2,682
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(88,873)	5,123	12,830	(1)	(1,096)		6,345
OTHER FINANCING SOURCES (USES)							
Transfers in							
Transfers out							
TOTAL OTHER FINANCING SOURCES (USES)							
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(88,873)	5,123	12,830	(1)	(1,096)		6,345
FUND BALANCES - JANUARY 1	134,574	24,749	18,262	1	2,851		467,078
FUND BALANCES - DECEMBER 31	\$ 45,701	\$ 29,872	\$ 31,092	\$ 0	\$ 1,755	\$ 0	\$ 473,423

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2009

Schedule 2

	SPECIAL REVENUE FUNDS			
	Jail Note	County Public Library	Communication Facility and Equipment	Totals
REVENUES				
State aid		\$ 42,206		\$ 89,188
Federal aid				30,324
Property taxes	\$ 76,586	214,506		563,715
Sales taxes				136,051
Fines, forfeitures, and costs				119,926
Interest	9,073	4,616	\$ 4	54,498
Officers' fees			4,965	150,199
911 Surcharges				162,069
Sanitation fees				466,393
Treasurer's commission				16,120
Collector's commission				44,034
Other		18,402	6,599	169,615
TOTAL REVENUES	85,659	279,730	11,568	2,002,132
Less: Treasurer's commission		3,288		21,732
NET REVENUES	85,659	276,442	11,568	1,980,400
EXPENDITURES				
Current:				
General government				251,999
Law enforcement	27,426		13,012	133,989
Public safety				420,652
Sanitation				631,431
Recreation and culture		267,405		267,405
TOTAL EXPENDITURES	27,426	267,405	13,012	1,705,476
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	58,233	9,037	(1,444)	274,924
OTHER FINANCING SOURCES (USES)				
Transfers in				520,232
Transfers out	(520,232)			(565,448)
TOTAL OTHER FINANCING SOURCES (USES)	(520,232)			(45,216)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(461,999)	9,037	(1,444)	229,708
FUND BALANCES - JANUARY 1	461,999	359,084	41,031	3,450,345
FUND BALANCES - DECEMBER 31	\$ 0	\$ 368,121	\$ 39,587	\$ 3,680,053

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2009

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Office of Emergency Services Clark County Marina	Established to receive Federal and State Aid to be used for occurrence of a major emergency or disaster. Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake.
Indigent Investigator	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continues to finance this fund used for the defense of indigents.
Indigent Defense	Ark. Code Ann. § 14-20-102 established fund to receive funds distributed in accordance with Ark. Code Ann. § 16-10-307 to be used to pay reasonable and necessary cost incurred in the defense and representation of indigent persons.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive fees collected by circuit clerks to be used for automated record systems and any legitimate county purpose.
Support Collection Costs Juvenile Probation	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office. Ark. Code Ann. § 16-13-326 established fund to collect juvenile fees and provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continues to finance this fund for the acquisition and operation of intoxication detection equipment.
District Court Cost	Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court cost levied to be used by Prosecuting Attorney for operating victim/witness program.
Emergency 911	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by telephone providers for 911 emergency services.
Sheriff's Drug Control	Ark. Code Ann. § 5-64-505 established fund to receive asset forfeitures resulting from drug offense cases due to arresting agency.
Disaster Recovery	Ark. Code Ann. § 12-75-123 established fund to receive Federal and State Aid to be used for occurrence of a major emergency or disaster.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2009

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Juvenile Work Supervision	Established to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated record keeping system.
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.
Mobile Emergency Operations	Ark. Code Ann. § 12-75-123 established fund to receive Federal and State Aid to be used for occurrence of a major emergency or disaster.
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony or the maintenance, operation, and capital expenditures of a county jail/regional detention facility.
Local Law Enforcement Block Grant	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive aid from the Local Law Enforcement Block Grant program to be used to purchase equipment for the Sheriff's office.
Sanitation	Established to account for sales taxes designated by Clark County Ordinance no. 299 (June 14, 1988) and sanitation fees collected for the operation of the County Sanitation Department.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
County Clerk's Cost	Ark. Code Ann. § 21-6-413 established fund to receive fees collected by county clerks to be used for automated record systems and any legitimate county purpose.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.
Fire Department Library Grant	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund under Act 1349 of 2001 to receive miscellaneous grants for volunteer and rural fire departments to set up a training facility to be used by Clark County Rural Fire Departments.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive 50% of all revenues collected from installment fees by the Circuit Court to be used for court related technology expenditures.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2009

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Assessor's Amendment no. 79	Ark. Code Ann. § 26-26-310 provides that one percent of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the purpose of administering Arkansas Constitution, Amendment no. 79.
Alumacraft Grant	Clark County Resolution no. 2007-11 (September 11, 2007) established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for improving Alumacraft's parking lot.
Drug Enforcement	Ark. Code Ann. § 14-21-201 established fund to receive appropriated county funds to be used for direct expenses associated with the investigation of criminal drug laws.
HITCO Grant	Clark County Resolution no. 2007-11 (September 11, 2007) established fund to account for grant funds from the Arkansas Community and Economic Development Program to be used for the purchase of equipment for the HITCO Carbon Composite facility located in the County.
H & P Sales Grant	Clark County Resolution no. 2007-11 (September 11, 2007) established fund to account for grant funds from the Arkansas Community and Economic Development Program to be used to construct a facility for H & P Sales in Clark County.
2005 Jail Construction	Clark County Ordinance no. 01-2005 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.
Jail Note	Clark County Ordinance no. 01-2005 (February 15, 2005) established fund with revenues from millage increase in property taxes to be used for but not limited to the repayment of the bond principal and interest.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for library property tax millage levied by the Quorum Court.
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of Sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.

Treasurer's accounts consist primarily of commissions, property taxes, and grants not distributed to the appropriate entities.

Tax Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fees and bonds not yet settled.

County Clerk's accounts consist primarily of fees to be settled with the Treasurer.

Circuit Clerk's accounts consist of trust money awaiting disposition by the applicable court.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

CLARK COUNTY, ARKANSAS
SUPPLEMENTARY INFORMATION
SCHEDULE OF CAPITAL ASSETS
DECEMBER 31, 2009
(Unaudited)

Schedule 3

	December 31, 2009
Land	\$ 501,117
Buildings	6,538,308
Construction in progress	96,063
Equipment	<u>7,374,950</u>
Total	<u>\$ 14,510,438</u>

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - REGULATORY BASIS
DECEMBER 31, 2009
(Unaudited)

Schedule 4

<u>General</u>	<u>2009</u>	<u>2008</u>	<u>2007</u>	<u>2006</u>	<u>2005</u>
Total Assets	\$ 1,557,020	\$ 1,857,749	\$ 1,547,063	\$ 1,515,094	\$ 1,760,736
Total Liabilities	106,837	158,930			41,763
Total Fund Balances	1,450,183	1,698,819	1,547,063	1,515,094	1,718,973
Net Revenues	3,870,831	3,899,885	3,794,790	3,853,942	3,525,879
Total Expenditures	4,164,683	4,110,205	3,786,728	4,096,506	3,753,929
<u>Road</u>					
Total Assets	\$ 3,496,964	\$ 3,223,104	\$ 3,104,421	\$ 2,943,927	\$ 2,426,273
Total Liabilities	133,802	12,751			
Total Fund Balances	3,363,162	3,210,353	3,104,421	2,943,927	2,426,273
Net Revenues	2,737,528	2,836,732	2,577,870	2,581,678	2,498,373
Total Expenditures	2,584,719	2,871,768	2,417,376	2,063,444	2,392,892
<u>Other Funds in the Aggregate</u>					
Total Assets	\$ 4,825,202	\$ 4,563,186	\$ 4,872,958	\$ 4,591,387	\$ 4,460,295
Total Liabilities	1,145,149	1,112,841	1,035,874	991,983	988,730
Total Fund Balances	3,680,053	3,450,345	3,837,084	3,599,404	3,471,565
Net Revenues	1,980,400	3,746,207	2,450,591	1,962,544	1,836,349
Total Expenditures	1,705,476	4,115,168	2,189,003	1,838,363	1,706,048

The financial statements are prepared on the regulatory basis of accounting as reported in Note 1(C) of the audit reports.